

1.

'Most consumers know, more or less, when and why they are likely to want to replace a TV set or mobile phone. Nobody really knows in advance when or why they might need to go into hospital for a new knee-cap or hip joint.'

Explain why imperfect information might lead to market failure in the case of merit goods and demerit goods.

[15 marks]

2.

The lack of clearly defined property rights in a country is most likely to lead to

- A** overproduction of merit goods. ☐
- B** equality of private costs with social costs. ☐
- C** overuse of scarce natural resources. ☐
- D** an efficient allocation of resources. ☐

[1 mark]

3.

'Most consumers know, more or less, when and why they are likely to want to replace a TV set or mobile phone. Nobody really knows in advance when or why they might need to go into hospital for a new knee-cap or hip joint.'

Discuss whether economic welfare would necessarily be increased if the provision of merit goods and public goods were always left to governments without ever involving markets.

[25 marks]